Labour Supply 2: Labour Supply and Public Policy

EC306- Wages and Employment

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Goals of This Section

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- Discuss various public policies that affect labour supply
  - Taxes/subsidies
  - Transfers
  - Employment Insurance
  - Worker Compensation
- Show effect of these policies on work decisions
- Examine statistical evidence for the model predictions

Income Maintenance Programs

Overview of Income Maintenance Programs

- Represent about 10% of GDP in Canada
- Aim to
  - Raise income of specific groups of people (e.g. parents, elderly)
  - Supplement low wages
- Include child benefits, employment insurance, social assistance, pensions
- Key challenge is balancing income support with work incentives

Government Transfers in Canada

- In 2017, 83% of families received some form of government transfer
- Major programs:
  - Federal Child Benefits (20.2%) – avg. $6,314
  - Employment Insurance (14.0%) – avg. $8,352
  - Social Assistance (11.3%) – avg. $8,367
  - Old Age Security (25.1%) – avg. $8,566
  - Canada/Quebec Pension Plan (32.4%) – avg. $10,092

Issues in Program Design

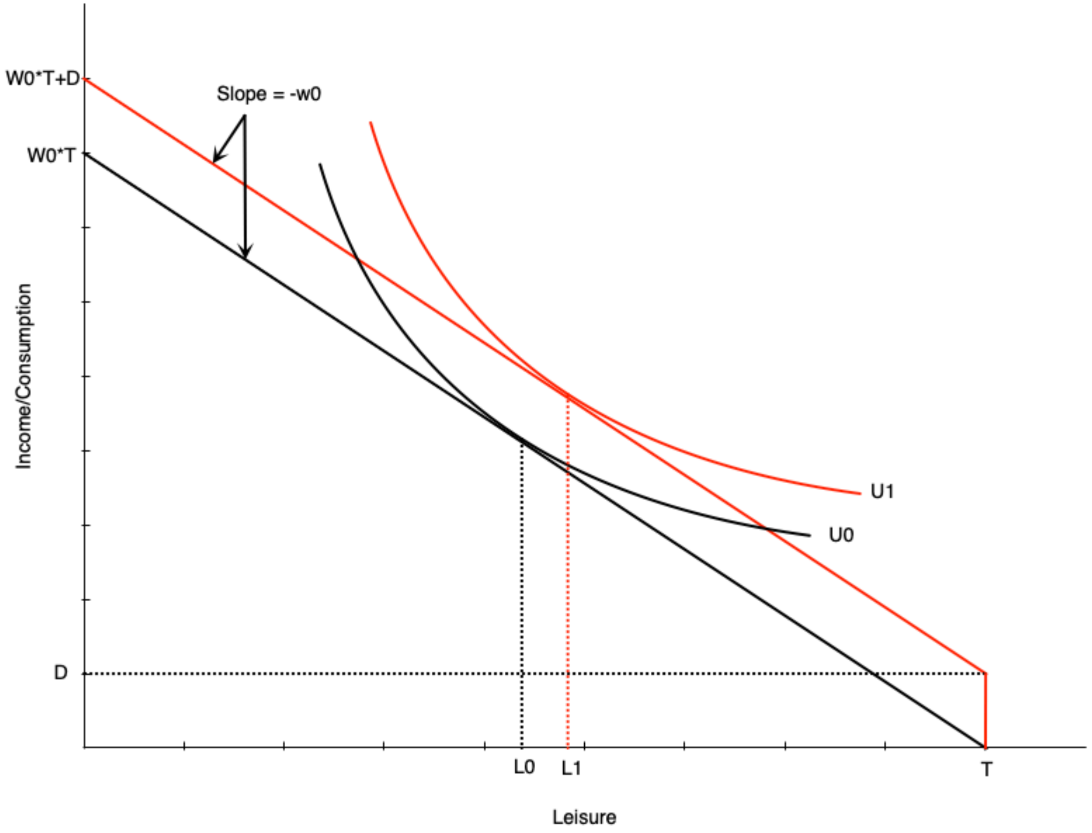
- Universal vs. Targeted Programs
  - Universal programs easy to implement, but expensive and flows to people not in need
  - Targeted programs benefit only those in need, but can be costly to implement
- Work Disincentives
  - Some programs that support income reduce the incentive to work
  - Example: a welfare benefit that increases non-work income
    - Can encourage people with preference for leisure to drop out of labour force
- Permanent vs. transitory income loss
  - Need different design for each situation
  - Temporary layoff requires short-term support
  - Long-term disability requires longer support and potentially more costs to reintegrate into workforce

Demogrants, Welfare, Wage Subsidies

Introduction

- We first examine standard income support programs
- Demogrants
  - A fixed payment to all individuals regardless of income or employment status
- Welfare
  - Lump-sum payment for non-workers, reduced dollar for dollar with earned income
- Negative Income Tax (NIT)
  - A welfare payment that decreases at a lower rate than dollar for dollar with earned income
- Wage Subsidies
  - An addition to the wage rate

Demogrant



- Demogrant is an unconditional lump sum income transfer
- Shifts the budget line up by the amount D
- Because wage does not change, this is a pure income effect
- If leisure is a normal good, optimal leisure falls
- Unambiguously negative work incentive effects
  - Leads to lower work hours
  - Can also lead to non-participation

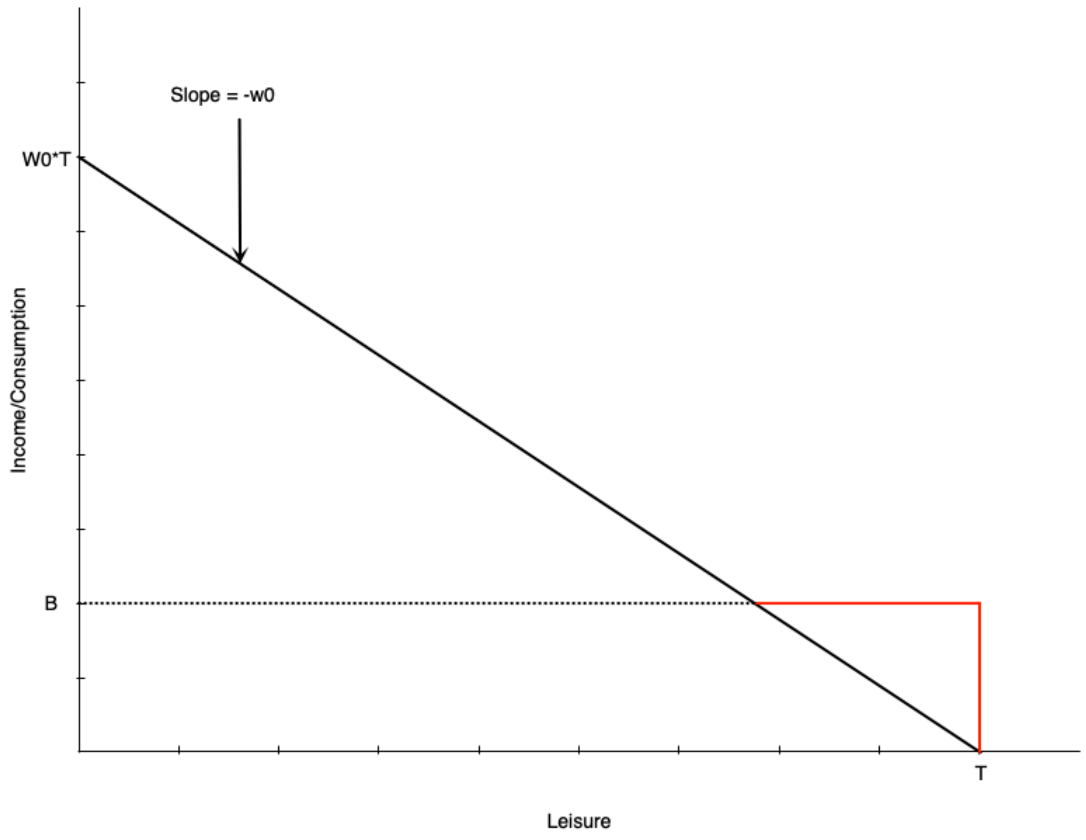
Demogrant

- Universal Child Care Benefit (UCCB) is a Canadian policy similar to a demogrant
  - Paid to families with children under 18
  - $160/month for each child under 6
  - $60/month for each child aged 6-17
  - Cancelled in 2016 and replaced with Canada Child Benefit (CCB)
- Research (Schirle, 2015) shows that UCCB reduced labour supply of women with children under 6
  - By about 3.2 percentage points for low-educated married women

Welfare

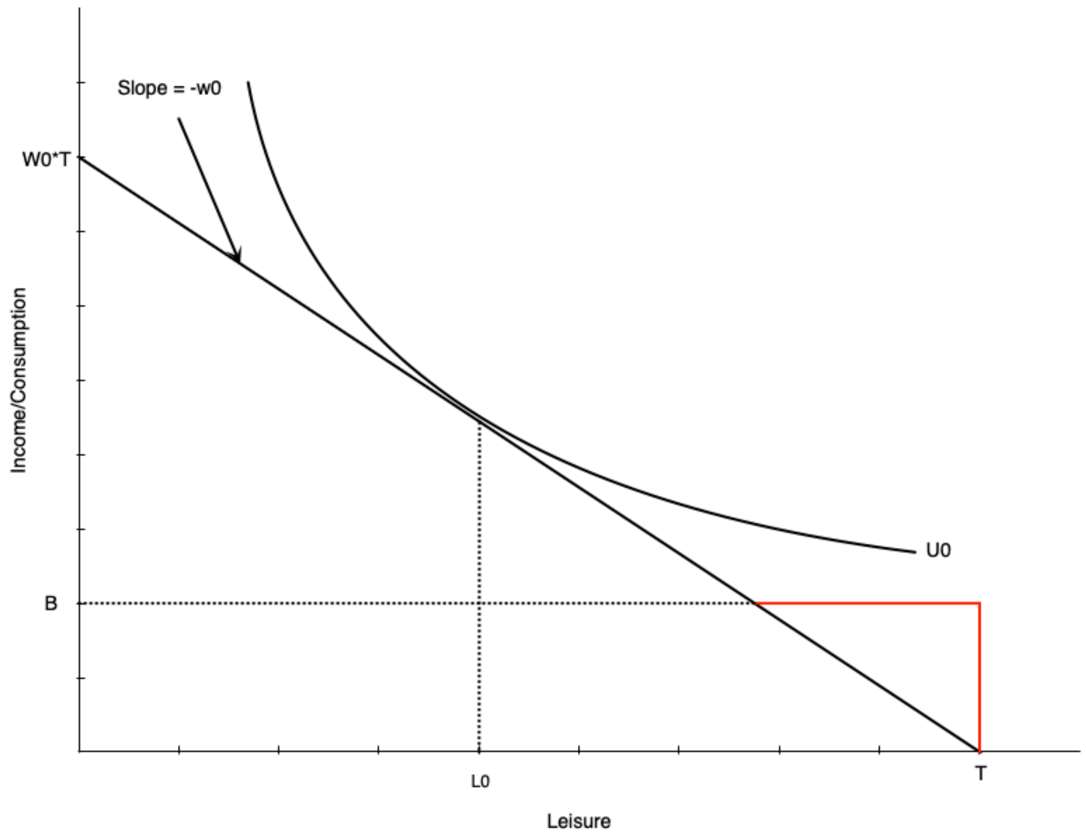
- Welfare is a lump-sum payment to non-workers that is reduced dollar for dollar with earned income
  - People do not really use the term welfare in Canada
  - Usually called social assistance or income assistance
- These programs have been criticized historically for negative work incentives
  - Creates incentives for some not to work
  - Important to balance this against the need to provide income support

Welfare



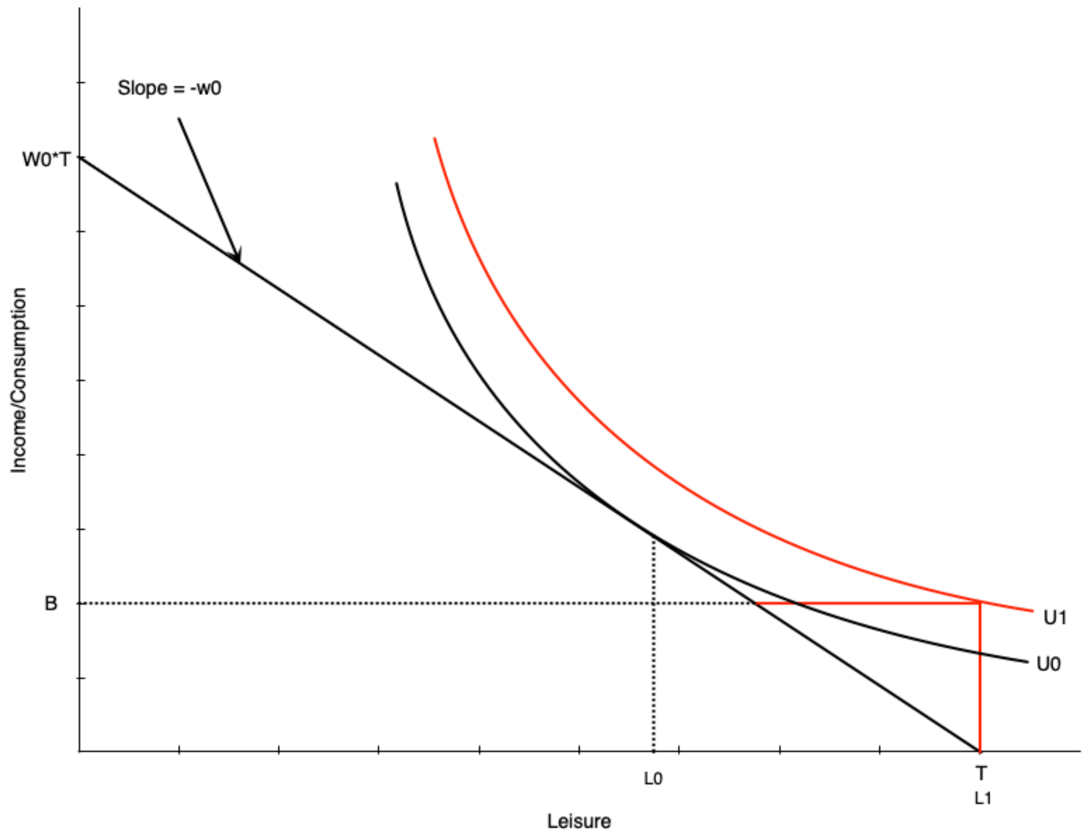
- Budget line is initially the black line
  - Leisure optimized at L_0 hours
- With welfare benefit is initially red line, then black line after they intersect
  - Welfare benefit B at zero hours of work
  - Benefit reduced by one dollar for each one dollar earned
    - Like a 100% tax on earned income
  - Income stays constant at welfare benefit until earned income exactly equals benefit
  - After that, person earns wage w_0 for each hour worked

Welfare



- For some people welfare has no effect on work hours
- In this graph, person is working H_0 hours prior to benefit
- After benefit, still maximize utility at H_0 hours
- Happens generally with people already working many hours

Welfare



- Others may face work disincentive
- A person like the left graph would choose to work zero hours after the welfare benefit
- Would happen because
  - Welfare benefit is generous
  - Individual puts high value on leisure
- This is not an ideal effect of welfare programs

Welfare

- How to combat work disincentive?
  - Reduce benefit level
    - But may not provide enough income support
  - Increase wages
    - Through minimum wages, subsidies, job training, unions
    - Can be expensive, which might reduce labour demand
  - Change preferences
    - Alter personal feelings towards work/leisure
    - Hard to do
  - Negative income tax
    - Reduce the tax back rate of extra earnings
    - Discussed in detail in a few slides

Welfare

- Some evidence comes from a policy change in Quebec
- Until 1989 welfare benefits for singles or couples with no kids was based on age
  - Under 30: $185/month
  - 30 and over: $507/month
- Turning 30 is associated with a big jump in welfare benefits
- Compared to 29 year olds, 30 year olds were
  - Spending much longer on welfare
  - Less likely to be employed